Summary

Margins, thus, help both in understanding the cost structure of a business and evaluating its performance. It is important to remember that low margins are not always bad nor high margins always good. A company may opt to work on very low margins to achieve volumes. On the other hand, a company earning high margins may face falling demand for its products. Investors must always check into the reasons for variations and the various measures mentioned in this chapter will point out to the investor the possible reasons.